

Cambridge Assessment
International Education

Cambridge International AS & A Level

ECONOMICS

Paper 1 AS Level Multiple Choice
PREDICTED PAPER 3 (ADVANCED)

9708/11

May/June 2025
1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are thirty questions on this paper. Answer all questions.
- For each question there are four possible answers A, B, C and D. Choose the one you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do not use correction fluid.
- Do not write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has 12 pages. Any blank pages are indicated.

- 1 An entrepreneur quits a job paying \$50 000 per year to start her own business. She also invests \$100 000 of her own savings, which would otherwise have earned 4% interest per year. In the first year, her business earns revenue of \$120 000 and has total explicit costs of \$55 000. What is her economic profit in the first year?
- A \$65 000 B \$15 000 C \$11 000 D –\$4 000
- 2 An economy's production possibility curve shifts asymmetrically: the maximum output of capital goods rises by 30% while the maximum output of consumer goods rises by only 10%. What does this most likely indicate?
- A uniform technological progress across all sectors
B technological progress biased towards the capital goods sector
C a fall in the productivity of labour
D an increase in the total population
- 3 Which scenario best illustrates occupational mobility of labour?
- A A factory worker moves from one city to another for the same job.
B A teacher retrain and becomes a software developer.
C A farmer continues farming using new techniques.
D A miner takes a temporary job in construction in the same town.
- 4 Which statement is purely positive in nature?
- A Unemployment is more harmful to society than inflation.
B A 10% rise in the minimum wage has historically reduced low-skilled employment by 1.5%.
C Governments ought to prioritise reducing income inequality.
D Free markets produce the best outcomes for society.
- 5 In a pure command economy, decisions about the allocation of resources are made primarily by the state. Which fundamental economic questions are answered by the state in this system?
- A what to produce only
B how to produce only
C for whom to produce only
D what, how and for whom to produce
- 6 In the market for coffee, the price of coffee beans (a key input) rises. At the same time, the price of tea, a close substitute for coffee, also rises. What is the certain effect on the equilibrium in the market for coffee?
- A price rises; quantity falls
B price rises; change in quantity is ambiguous
C change in price is ambiguous; quantity rises
D both price and quantity changes are ambiguous

- 7 A firm cuts the price of its product from \$10 to \$8. Weekly sales rise from 100 to 150 units. What is the price elasticity of demand and the effect on total revenue?
- A PED = -2.5 ; total revenue rises
 - B PED = -2.5 ; total revenue falls
 - C PED = -0.4 ; total revenue rises
 - D PED = -0.4 ; total revenue falls
- 8 A binding maximum price (price ceiling) is imposed below the equilibrium price in the market for a good. Which statement about the effect on consumer and producer surplus is most accurate?
- A consumer surplus definitely rises and producer surplus definitely falls
 - B producer surplus definitely rises and the change in consumer surplus is ambiguous
 - C the change in consumer surplus is ambiguous but producer surplus definitely falls
 - D both surpluses fall and no deadweight loss is created
- 9 In the market for university education, marginal private benefit (MPB) = $100 - Q$ and marginal social benefit (MSB) = $MPB + 20$. Marginal cost is constant at \$30. What is the socially optimal quantity of university places?
- A 50 B 70 C 80 D 90
- 10 A specific tax of \$5 per unit is imposed on a good. Before the tax the equilibrium price is \$20. After the tax, the price paid by consumers rises to \$23. How is the tax burden shared?
- A consumers bear \$3 and producers bear \$2
 - B consumers bear \$2 and producers bear \$3
 - C consumers bear the entire \$5
 - D the burden is split equally at \$2.50 each
- 11 A specific tax is imposed on a good for which the demand is perfectly inelastic. How is the tax burden distributed between consumers and producers?
- A consumers bear the entire burden
 - B producers bear the entire burden
 - C consumers and producers share it equally
 - D neither group bears the burden
- 12 Which situation best illustrates the free-rider problem?
- A A consumer buys a premium streaming subscription.
 - B Residents benefit from street lighting without contributing to its cost.
 - C A firm pays for advertising targeted only at its own customers.
 - D Cinemas charge different prices to different groups of consumers.

- 13** A government wishes to achieve two objectives at the same time: to discourage the consumption of sugary drinks and to raise revenue to fund health programmes.
Which policy is best suited to achieving both objectives?
- A** a quota on the quantity of sugary drinks sold
 - B** a per-unit excise tax on sugary drinks
 - C** an outright ban on the sale of sugary drinks
 - D** a subsidy to producers of healthier beverages
- 14** In the second-hand car market, buyers cannot easily distinguish between high-quality and low-quality cars before purchase, while sellers know the quality of their own cars.
Which form of market failure does this illustrate?
- A** moral hazard
 - B** adverse selection arising from asymmetric information
 - C** failure of a public good
 - D** a positive externality
- 15** An economy is currently in long-run equilibrium. The central bank then unexpectedly cuts its key interest rate.
What is the most likely short-run effect, using the AD/AS model?
- A** real output falls and the price level falls
 - B** real output rises and the price level rises
 - C** real output rises and the price level falls
 - D** real output and the price level are unchanged
- 16** A country has a nominal GDP of \$500 billion, a population of 50 million and a GDP deflator of 125.
What is real GDP per capita?
- A** \$8 000 **B** \$10 000 **C** \$12 500 **D** \$40 000
- 17** Okun's law states that every 1 percentage point that unemployment is above the natural rate is associated with real output being approximately 2% below potential. The natural rate of unemployment is 5%. Actual unemployment rises to 8%.
By approximately how much is real output below its potential level?
- A** 2% **B** 3% **C** 6% **D** 8%
- 18** The nominal interest rate in a country is 7% and the expected rate of inflation is 3%.
Using the Fisher relationship, what is the approximate real interest rate?
- A** 3% **B** 4% **C** 7% **D** 10%
- 19** A government pursues expansionary fiscal policy.
In which situation is crowding out of private investment most likely to occur?
- A** when the economy is operating well below capacity and interest rates are low
 - B** when the economy is at full employment and the supply of loanable funds is limited
 - C** during a deep recession with high unemployment
 - D** when monetary policy is also highly expansionary

- 20** An inflation-targeting central bank has an upper bound of 3%. Inflation rises from 2% to 4%. Which response is most likely?
- A** reduce interest rates to boost aggregate demand
 - B** raise interest rates to reduce aggregate demand
 - C** fix the exchange rate to another currency
 - D** increase government spending on transfers
- 21** According to the idea of Ricardian equivalence, a tax cut financed by increased government borrowing is expected to:
- A** always cause a large rise in consumption
 - B** have little effect on aggregate demand if households expect future taxes to rise to repay the debt
 - C** cause immediate hyperinflation
 - D** reduce the long-run interest rate sharply
- 22** Which is a potential cost of prolonged deflation?
- A** the real purchasing power of consumer incomes falls
 - B** the real burden of existing debt falls
 - C** consumers may delay purchases, worsening the slowdown
 - D** exports become less competitive in world markets
- 23** In a closed economy with government, the marginal propensity to consume out of disposable income is 0.75 and the marginal tax rate is 0.2. What is the approximate value of the multiplier?
- A** 1.5 **B** 2.5 **C** 4.0 **D** 5.0
- 24** A managed floating exchange rate system is best described as one in which:
- A** the exchange rate is determined entirely by market forces with no official intervention
 - B** the exchange rate is fixed against another currency at a set parity
 - C** the exchange rate is largely market-determined but the central bank intervenes occasionally to smooth fluctuations
 - D** the exchange rate is set each day by the government
- 25** The Marshall-Lerner condition states that a currency depreciation will improve the current account balance only if:
- A** the sum of the price elasticities of demand for imports and for exports is greater than 1
 - B** the price elasticity of demand for exports alone is greater than 1
 - C** the country's inflation rate is zero
 - D** the country operates a floating exchange rate

- 26 Two countries each have one worker, whose maximum daily output is shown in the table.

country	cloth (units)	wine (units)
X	100	50
Y	80	20

Which country has a comparative advantage in producing wine?

- A country X
 - B country Y
 - C both countries equally
 - D neither country
- 27 A country's terms of trade improve by 20%. Over the same period its export volumes fall by 30% while import volumes are unchanged.
- What is the most likely effect on the country's export revenue?
- A a significant rise in export revenue
 - B a fall in export revenue
 - C export revenue is unchanged
 - D the effect on export revenue cannot be determined even in principle
- 28 Which transaction would be recorded as a credit entry in a country's financial account?
- A a domestic firm purchases a factory abroad
 - B a foreign investor buys bonds issued by the domestic government
 - C a domestic citizen buys shares in a foreign company
 - D the central bank adds to its holdings of foreign currency reserves
- 29 A country's balance of payments shows the following figures in \$ billions:

item	\$bn
current account balance	–60
capital account balance	+5
net errors and omissions	–3

Assuming the overall balance of payments sums to zero, what is the financial account balance?

- A +\$58 bn
 - B –\$58 bn
 - C +\$68 bn
 - D –\$68 bn
- 30 Which statement best describes a customs union?
- A members eliminate tariffs between themselves but each sets its own external tariffs
 - B members eliminate tariffs between themselves and adopt a common external tariff
 - C members allow free movement of goods, services, capital and labour
 - D members adopt a single common currency

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